GOVERNMENT OF INDIA

Ministry of Rural Development

Transforming Rural India Through Inclusive Growth

Confidential and Proprietory

August 2026

SHRI NARENDRA MODI

HONORABLE PRIME MINISTER, INDIA



MESSAGE

Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

SHRI SHIVRAJ SINGH CHOUHAN

HONORABLE MINISTER,
MINISTRY OF RURAL DEVELOPMENT



MESSAGE

Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

SHRI MUNINDRA KUMAR

DIRECTOR GENERAL, CHAMBER OF COMMERCE AND INDUSTRIES OF INDIA



MESSAGE

Rural India represents the foundation of the nation's socio-economic progress, contributing significantly to agriculture, livelihoods, entrepreneurship, and inclusive growth. The Ministry of Rural Development plays a transformative role in strengthening rural infrastructure, enhancing livelihood opportunities, promoting self-employment, reducing poverty, and empowering communities through sustainable development initiatives.

The Chamber of Commerce and Industries of India (CCI India) believes that the long-term prosperity of India depends upon the holistic development of its rural economy. Through policy advocacy, investment promotion, rural entrepreneurship, skill development, technology integration, market linkages, capacity building, and institutional partnerships, CCI India remains committed to supporting the Ministry's vision of creating vibrant, self-reliant, and economically resilient rural communities.

This Knowledge Paper presents comprehensive insights into the Ministry's strategic priorities, flagship programmes, policy initiatives, institutional framework, and emerging opportunities for collaboration across rural infrastructure, livelihoods, digital inclusion, financial empowerment, sustainable agriculture, women-led enterprises, social development, and rural innovation.

The publication serves as a valuable resource for policymakers, rural development agencies, financial institutions, entrepreneurs, investors, academic organizations, NGOs, technology providers, and development partners committed to strengthening India's rural economy. Through collaborative engagement and knowledge sharing, it seeks to generate employment, improve rural incomes, encourage entrepreneurship, and foster inclusive national development.

As India progresses towards the vision of *Viksit Bharat 2047*, empowered villages and resilient rural communities will remain central to achieving sustainable and equitable growth. CCI India looks forward to working alongside the Ministry of Rural Development in building a prosperous, inclusive, and future-ready rural India.

Munindra Kumar
Director General
CCI India

Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

Preface

Rural India is not merely a geographic construct it is the demographic, cultural, and economic bedrock upon which India's development aspirations rest. With over 833 million people residing in approximately 6.5 lakh villages, rural India constitutes the world's largest rural population. This immense demographic reality makes the Ministry of Rural Development (MoRD) one of the most strategically consequential institutions in the Indian governance architecture. The Ministry's mandate encompasses the full spectrum of rural welfare from employment and housing to livelihoods, land management, and infrastructure and its annual budgetary outlay of ₹1,90,406 crore in 2025-26 makes it one of the largest public spending ministries in the world.

India's transition to a Viksit Bharat (Developed India) by 2047 fundamentally depends on the transformation of rural India. The rural economy contributes approximately 47% of India's GDP through agriculture and allied activities, employs 68% of the workforce, and serves as the primary reservoir of the country's labour supply. Yet persistent structural challenges including poverty, unemployment, inadequate rural infrastructure, skill gaps, digital exclusion, and limited access to financial services continue to constrain the full economic potential of this vast population.

This Knowledge Paper has been developed by CCI India the Chamber of Commerce and Industry of India to provide a structured, analytically rigorous examination of the Ministry of Rural Development's mandate, institutional landscape, strategic challenges, and emerging opportunities. The paper is intended to serve as a reference document for senior policymakers, ministry officials, industry leaders, development finance institutions, and strategic partners who are engaged in or interested in the rural development ecosystem.

The paper analyses the Ministry's major flagship programmes including MGNREGS, PMAY-G, PMGSY, DAY-NRLM, and PMKSY through a strategic lens, evaluating not merely their implementation status but their systemic impact, scalability potential, and embedded opportunities for private sector participation. It examines structural gaps in execution capacity, market linkages, technology adoption, and innovation, and proposes a comprehensive collaboration framework through which CCI India can serve as a catalytic bridge between the Ministry's programmatic objectives and the capabilities of India's business community.

CCI India's vision for this engagement is anchored in the belief that sustainable rural transformation requires the convergence of government programming, private enterprise, social capital, and knowledge ecosystems. As an apex industry body with national reach, deep sector expertise, and established institutional relationships, CCI India is uniquely positioned to serve as a strategic implementation partner, policy facilitator, investment promotion partner, startup and innovation enabler, industry-government bridge, knowledge partner, and ecosystem builder in partnership with the Ministry of Rural Development.

This Knowledge Paper is intended for Union Ministers, Secretaries to Government of India, NITI Aayog, senior bureaucrats, industry leaders, investors, development agencies, and international institutions. It is published as a contribution toward advancing evidence-based, partnership-driven rural development policy in India.

Chamber of Commerce and Industry (CCI India)

Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

TABLE OF CONENTS

SHRI NARENDRA MODI **2**

HONORABLE PRIME MINISTER, INDIA **2**

SHRI SHIVRAJ SINGH CHOUHAN **3**

HONORABLE MINISTER, ... **3**
MINISTRY OF RURAL DEVELOPMENT **3**

SHRI MUNINDRA KUMAR **4**

DIRECTOR GENERAL, CHAMBER OF COMMERCE AND INDUSTRIES OF INDIA ... **4**

PREFACE **5**

ABOUT CCI INDIA **6**

SECTION 1: INTRODUCTION TO THE MINISTRY **9**

1.1 Constitutional & Institutional Mandate 9
1.2 Evolution of the Ministry 9
1.3 Governance Architecture 9
1.4 National Significance 9

SECTION 2: HISTORICAL TIMELINE OF THE MINISTRY **10**

SECTION 3: MINISTRY OVERVIEW & ORGANISATIONAL STRUCTURE **12**

3.1 Departmental Structure 12
3.2 Key Autonomous Bodies & Implementation Agencies 12

SECTION 4: STRATEGIC IMPORTANCE OF THE MINISTRY **13**

4.1 Economic Contribution: The Multiplier Effect of Rural Spending 13
4.2 Employment & Labour Market Stabilisation 14
4.3 Women's Economic Empowerment: A Strategic Asset 14

SECTION 5: RURAL DEVELOPMENT SECTOR LANDSCAPE IN INDIA **15**

5.1 Rural Livelihoods & Employment Sector 15
5.2 Rural Infrastructure Sector 16
5.3 Rural Finance & Digital Economy 16

SECTION 6: MINISTRY PROGRESS REVIEW (2020–2026) **17**

6.1 Budget Evolution Dashboard (2020-2026) 17
6.2 Key Scheme Performance Matrix (2020-2026) 18

SECTION 7: CURRENT LANDSCAPE ANALYSIS **19**

7.1 Major Achievements 19
7.2 Existing Challenges 20
7.3 Global Benchmarking of Rural Development Models 20

SECTION 8: STRATEGIC NEED FOR CCI INDIA COLLABORATION **21**

8.1 The Execution Capability Gap 22
8.2 The Market Linkage Deficit 22
8.3 The Innovation & Technology Adoption Gap 22
8.4 The Private Investment Mobilisation Gap 22
8.5 The Knowledge & Policy Design Gap 23

SECTION 9: GAP ANALYSIS FRAMEWORK **23**

Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

SECTION 10: OPPORTUNITY ASSESSMENT MATRIX 25

SECTION 11: INNOVATION & ECOSYSTEM DEVELOPMENT FRAMEWORK 27

11.1 The Rural Innovation Opportunity Landscape 27
11.2 Ministry-Startup Collaboration Architecture 28

SECTION 12: STRATEGIC ROLE OF CCI INDIA 28

12.1 Industry Facilitator & Market Linkage Builder 28
12.2 Policy Advocate & Regulatory Reform Catalyst 29
12.3 Investment Promotion & Capital Mobilisation Partner 29
12.4 Knowledge Partner & Research Institution 29
12.5 Capacity Building & Ecosystem Developer 29
12.6 Startup Accelerator & Innovation Ecosystem Builder 30

SECTION 13: PROPOSED COLLABORATION FRAMEWORK 30

13.1 Governance Structure 30
13.2 PPP Engagement Models 30

SECTION 14: PROPOSED FLAGSHIP PROGRAMMES FOR CCI INDIA 31

SECTION 15: INVESTMENT & FUNDING FRAMEWORK 33

15.1 Government Programme Funds (Convergence Financing) 33
15.2 Corporate CSR Funding 34
15.3 Impact Investment & Development Finance 34
15.4 Funding Architecture Overview 34

SECTION 16: STATE-WISE ENGAGEMENT PRIORITY MATRIX 35

SECTION 17: EXPECTED IMPACT ASSESSMENT 38

SECTION 18: FIVE-YEAR STRATEGIC ROADMAP (2026–2031) 40

SECTION 19: WHY CCI INDIA IS THE IDEAL STRATEGIC PARTNER 41

19.1 National Industry Network with Rural Market Reach 42
19.2 Established Government Engagement Architecture 42
19.3 Research, Knowledge Production & Publication Credibility 42
19.4 Investor Network Access & Investment Facilitation Capability 42
19.5 Startup Ecosystem Connectivity 43
19.6 Execution Track Record in PPP Facilitation 43

SECTION 20: STRATEGIC ACTION AGENDA & POLICY RECOMMENDATIONS 43

Immediate Priorities (0–12 Months) 43
Medium-Term Priorities (12–36 Months) 44
Long-Term Priorities (36–60 Months) 45

CONCLUSION 47

Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

About CCI India

CCI India (The Chamber of Commerce and Industry of India) is a premier national business chamber dedicated to fostering economic growth, industry development, entrepreneurship, innovation, and investment promotion across India. As the voice of Indian business and industry, CCI India serves as a bridge between government, industry, startups, academia, investors, and civil society, facilitating meaningful collaboration for nation-building and sustainable development.

Through policy advocacy, business facilitation, research, stakeholder engagement, capacity building, and strategic partnerships, CCI India works to create an enabling environment for enterprises of all sizes. The Chamber actively supports key national initiatives such as Startup India, Make in India, Digital India, Atmanirbhar Bharat, Skill India, and Viksit Bharat 2047 by connecting innovative enterprises with government opportunities and promoting inclusive economic development.

CCI India operates through sector-specific councils, industry forums, knowledge platforms, and state-level engagements that address emerging opportunities and challenges across sectors including manufacturing, agriculture, technology, healthcare, education, infrastructure, sustainability, MSMEs, and startups. The Chamber regularly organizes policy dialogues, investment summits, business delegations, workshops, conferences, and knowledge-sharing initiatives to strengthen India's economic ecosystem.

With a strong commitment to innovation, entrepreneurship, and public-private collaboration, CCI India strives to empower enterprises, facilitate investment, enhance competitiveness, and contribute to India's journey toward becoming a globally competitive and economically resilient nation. Its role as a knowledge partner and industry catalyst enables ministries, departments, state governments, startups, and businesses to collaborate effectively in achieving national development objectives.

Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

SECTION 1: INTRODUCTION TO THE MINISTRY

1.1 Constitutional & Institutional Mandate

The Ministry of Rural Development (MoRD) operates under the constitutional framework established by Articles 38, 39, 43, and 46 of the Directive Principles of State Policy, which collectively mandate the State to promote the welfare of people, secure adequate livelihood, and protect the interests of weaker sections. These constitutional obligations translate into the Ministry's institutional mandate: to ensure the all-round development of rural India through welfare programmes, infrastructure creation, livelihood promotion, land reforms, and social protection.

The Ministry administers two principal departments the Department of Rural Development (DoRD) and the Department of Land Resources (DoLR) each with distinct but complementary mandates. Together, they address the three foundational pillars of rural transformation: economic inclusion through livelihoods and employment, physical inclusion through infrastructure and housing, and social inclusion through welfare and safety nets.

1.2 Evolution of the Ministry

The institutional lineage of the Ministry of Rural Development traces back to the Community Development Programme of 1952, India's first organised attempt at rural upliftment. Over seven decades, the Ministry has evolved from a welfare-oriented administrative unit into a strategic development institution. Post-liberalisation, the Ministry progressively shifted from direct service delivery to programmatic governance designing large-scale Centrally Sponsored Schemes (CSS) implemented through state governments and local bodies. The formation of the National Rural Livelihoods Mission in 2011, the launch of PMGSY in 2000, and the enactment of the MGNREGA in 2005 represent landmark institutional milestones that have redefined the Ministry's role in India's social contract with its rural population.

1.3 Governance Architecture

The Ministry functions through a federated governance model, wherein centrally designed flagship programmes are implemented by State governments through State Rural Livelihoods Missions (SRLMs), State Rural Roads Development Agencies (SRRDAs), District Rural Development Agencies (DRDAs), and Gram Panchayats. This multi-tier governance structure spanning national, state, district, block, and village levels enables customised implementation across India's diverse agro-climatic and socio-economic landscape, while ensuring programmatic consistency and financial accountability.

1.4 National Significance

No ministry in India's governance structure touches more lives per rupee of expenditure than MoRD. With an annual budget exceeding ₹1.90 lakh crore, over 12.24 crore MGNREGS workers, 91 lakh SHGs mobilising 10 crore women, and PMAY-G targeting housing for nearly 3 crore rural households, the Ministry's programmatic footprint spans virtually every rural district in India. Its programmes function as institutional anchors for rural economic stability acting as automatic fiscal stabilisers during agricultural downturns and providing resilience to rural households against external shocks, as demonstrated during the COVID-19 pandemic when MGNREGS expenditure reached a historic ₹1.11 lakh crore in 2020-21.

Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

SECTION 2: HISTORICAL TIMELINE OF THE MINISTRY

The Ministry of Rural Development's evolution reflects India's shifting development philosophy from centralised welfare delivery to decentralised, community-driven, rights-based development. Understanding this trajectory is essential for appreciating both the institutional depth of the Ministry and the systemic challenges that persist despite decades of investment.

Year	Milestone	Strategic Significance
1952	Community Development Programme	India's first organised rural upliftment programme; established block-level administrative apparatus that forms the foundation of today's programme delivery infrastructure.
1974	Ministry of Rural Reconstruction	Reorganisation of rural development functions under a dedicated ministry, signalling policy focus on rural welfare as a distinct governance priority.
1978	Integrated Rural Development Programme (IRDP)	First major asset-transfer programme targeting Below Poverty Line (BPL) households; pioneered the approach of combining credit access with productive asset creation.
1989	Jawahar Rozgar Yojana (JRY)	Landmark employment scheme providing wage employment to rural poor; predecessor to MGNREGS and establisher of the rights-based employment framework.
1999	Swarnjayanti Gram Swarozgar Yojana (SGSY)	First SHG-based programme integrating credit, training, and infrastructure for rural livelihoods; institutional precursor to DAY-NRLM.
2000	PMGSY Rural Roads	Transformational connectivity programme linking 1.78 lakh+ unconnected habitations to all-weather roads; directly linked to reductions in rural poverty through market access.
2005	MGNREGA Enacted	Landmark legislation providing statutory right to 100 days of wage employment; first rights-based employment guarantee globally of this scale, covering 12+ crore active workers.

Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003